

FEDERAL MARITIME COMMISSION

TCW, INC.,

Claimant,

v.

EVERGREEN SHIPPING AGENCY
(AMERICA) CORPORATION &
EVERGREEN LINE JOINT SERVICE
AGREEMENT,

Respondents.

Docket No. 1966(I)

Served: April 26, 2021

BY THE COMMISSION: Daniel B. MAFFEI, Chairman,
Rebecca F. DYE, Michael A. KHOURI, Louis E. SOLA, Carl W.
BENTZEL, Commissioners.

Order for Supplemental Briefing

On February 19, 2021, the Small Claims Officer (SCO) found that Respondents Evergreen Shipping Agency (America) Corp. (Evergreen Shipping Agency) and Evergreen Line Joint Service Agreement (Evergreen Line) (collectively, Evergreen) violated 46 U.S.C. § 41102(c) by charging Claimant TCW “per diem” on unreturned containers and chassis on a weekend and holiday when the Port of Savannah (the return location) was closed.

The Commission determined to review the SCO decision.

To aid that review, the Commission orders that the parties may file briefs on the issues set forth below. Any brief by Respondents is due by May 26, 2021. Any brief by Claimant is due by June 25, 2021. Briefs are limited to thirty pages and must comply with 46 C.F.R. § 502.2, subject to the Commission Order waiving certain requirements due to Covid19.¹ Any amicus filings are subject to 46 C.F.R. § 502.73 and should be limited to issues of law and policy not already brought to the Commission's attention by the parties.²

Briefs should discuss the following:

1. *Evergreen Agency Relationships*. Evergreen sought dismissal of Evergreen Shipping Agency on the grounds that it was not a regulated entity subject to 46 U.S.C. § 41102(c). The SCO declined the request and found Evergreen Shipping Agency and Evergreen Line liable. The Commission is interested in the parties' views on that aspect of the Initial Decision, particularly what effect, if any, the dismissal of Evergreen Shipping Agency would have on the Commission's authority to adjudicate the claims against Evergreen Line, Evergreen Line's liability under § 41102(c), and the Commission's ability to provide relief to TCW if a violation were found.
2. *Section 41102(c) elements*. The Commission is interested in the parties' views on (a) what acts or omissions are alleged to be unreasonable, (b) whether those acts or omissions occurred on a normal, customary, and continuous basis, and

¹ See Order, FMC Docket No. 20-07, Waiver of Certain Filing Requirements Due to Covid19 (May 12, 2020), available at https://www2.fmc.gov/readingroom/docs/20-07/20-07_order.pdf/.

² Amicus briefs should not be used by parties in other cases before the Commission to avoid discovery and briefing schedules in those cases.

(c) whether those acts or omissions are unreasonable. Regarding reasonableness, the Commission is particularly interested in arguments regarding application of the interpretive rule on demurrage and detention.

3. *Relevance of TCW Pass-Through.* Evergreen raised as a defense the fact that TCW passed on the per diem charges with a markup to the beneficial cargo owner. The Commission is interested in the parties' views on the relevance of TCW's pass-through given the Commission's decision in *In re Vehicle Carrier Services*, 1 F.M.C.2d 440, 446 (FMC 2019) and discussion of the direct purchaser rule and its corollaries.

By the Commission.

Rachel E. Dickon
Secretary